higher education & training

Department:
Higher Education and Training
REPUBLIC OF SOUTH AFRICA

MARKING GUIDELINE

NATIONAL CERTIFICATE (VOCATIONAL)

ECONOMIC ENVIRONMENT
NQF LEVEL 3

7 MARCH 2019

This marking guideline consists of 8 pages.

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SECTION A

QUESTION 1

1.1	1.1.1	D	
	1.1.2	A	
	1.1.3	C	
	1.1.4	D	
	1.1.5	B	
	1.1.6	A	
	1.1.7	A	
	1.1.8	A	
	1.1.9	B	
	1.1.10	A	
			(10 × 1) (10)

1.2	1.2.1	Proportion	
	1.2.2	Export cost	
	1.2.3	Consumer price index	
	1.2.4	Dividends	
	1.2.5	Public opinion	
			(5 × 2) (10)

1.3	1.3.1	False	
	1.3.2	True	
	1.3.3	False	
	1.3.4	True	
	1.3.5	False	
	1.3.6	True	
	1.3.7	True	
	1.3.8	True	
	1.3.9	False	
	1.3.10	True	
			(10 × 1) (10)

1.4	1.4.1	The transfer of the production of goods and services from the public sector (government) into private ownership and operations
	1.4.2	A measure of the value of currency in the international market
	1.4.3	A financial institution primarily engaged in international financing of and long-term loans for multinational corporations and governments
	1.4.4	Refers to a number of economic quantities used as guidelines to determine how well or poorly the economy is doing at a given point

1.4.5 A tool used in planning and project management to ensure that a project is completed on time

(5 × 2) (10)
[40]

TOTAL SECTION A: 40

SECTION B

QUESTION 2

2.1 Primary sector (2)

2.2
- Raising capital for business
- Channeling savings into investments
- Providing companies with the opportunity to merge and grow
- Improve corporate opportunities for small investors
- It is a barometer of the economy (Any 4 × 1) (4)

2.3
- Shortages in poultry to buy and sell
- Increase in prices of poultry
- Increase in maintenance costs for farmers
- Poultry imports will increase thereby increasing the value of leakages
- Low economic growth in agribusiness
- Demand for poultry will be high and yet supply will be low (Any 4 × 2) (8)

2.4
- For poor South Africans poultry may become unaffordable.
- The cost of poultry feed will increase and therefore poultry farmers will raise their prices.
- This will cause the inflation to rise.
- It will cause a decrease in production in the case of farmers and an increase in government spending. (4)

2.5
- Assesses the general performance of the economy
- Indicates when it is the right time to invest
- Judges the effectiveness of economic policy
- Compares economic performance of different countries
- Makes economic forecasts (Any 2 × 2) (4)

2.6
- Learnership programmes to develop current employee
- Bursaries for students to study courses for scarce skills
- Skills development programmes implemented at TVET colleges and various tertiary institutions (Any 2 × 2) (4)

2.7
- Pays social welfare grants
- Provides free services such as housing and healthcare for very poor people
- Creates employment opportunities
- Promotes entrepreneurship
- Provides training schemes to develop skills
- Improves basic services such as housing, piped water and sanitation in poor areas (Any 4 × 1) (4)

2.8 The higher the interest cost and the longer the loan period the higher the cost of the credit. (2)

2.9
- They bring the people and companies together who have money to invest.
- They assist people and companies who need money to make their businesses grow.
- They bring borrowers and savers together to ensure that funds flow from the savers to the borrowers.
- They ensure that production units have sufficient funds available in order to produce goods and services and increase their production. (4 × 2) (8)

[40]

QUESTION 3

3.1
- Basic materials
- Resources
- Oil and gas
- Industrials
- Financials
- Consumer goods
- Technology
- Consumer services
- Healthcare
- Telecommunication (Any 3 × 1) (3)

3.2

CONSUMER PRICE INDEX	PRODUCER PRICE INDEX
Measures the change in the price level of a representative selection of consumer goods and services✓ bought by households in a particular country or region over a particular period of time.✓	Measures the average change in prices of domestically produced goods when they leave the factory,✓ while also taking into account prices of imported goods over a particular period of time.✓

(4)

3.3
- Crime
- Domestic violence
- Low self-esteem
- Social unrest
- Poverty
- Drug abuse (Any 3 × 1) (3)

3.4
- P – Political
- E – Economic
- S – Social
- T – Technological (4)

3.5
- When there is for example a drought, lakes and rivers might dry up and affect tourist destinations.
- Loss of income for the country.
- Loss of jobs for people in the tourism industry.
- The cost of water will increase due to the increase in the cost of supplying it. (Any 2 × 2) (4)

3.6
- Technological advances in communication and transport
- The development of multinational companies
- The free movement of capital
- Free trade and world trade agreements (Any 3 × 2) (6)

3.7 3.7.1 Simple interest = P × R × T✓
R3 000 × 8/100 × 1✓
= R540✓✓ (4)

3.7.2 Cost = R250 × 80 + R15 000✓✓
= R35 000✓ (3)

3.7.3 R250 × 35% = R87,50✓
R250 + R87,50 = R337,50✓✓ (3)

3.8 3.8.1 Tax imposed on all exported goods by the customs authority of a country

3.8.2 The total expenses of receiving goods at the place of retail sale

3.8.3 Something of use, value or profit such as an article used in commerce or raw materials

(3 × 2) (6)
[40]

QUESTION 4

4.1 $7,50 x 20% = R1, 50✓
$7,50 + R1,50✓
= R9,00 is the new exchange rate.✓✓ (4)

4.2

MICRO ENVIRONMENT	MARKET ENVIRONMENT	MACRO ENVIRONMENT
It refers to the business enterprise itself and is therefore an internal environment✓ and fully controllable by the businessperson himself/herself,✓ e.g. management functions, business mission and goals.✓	This is the environment in which the business operates.✓ Business cannot control this environment but has an influence on it,✓ e.g. competitors, consumers, suppliers and trade unions. ✓	It consists of all uncontrollable influences✓ that may have a positive or negative influence on the business,✓ e.g. physical, socio-political and technological environment.✓

(9)

4.3 Infrastructure refers to all the physical and organisational structures and services that a society needs to function, for example roads, bridges, power supplies, hospitals, etc. (2)

4.4
- Passive strategy
- Adaptation strategy
- Redeployment strategy
- Offensive strategy
- Opposition strategy (Any 3 × 1) (3)

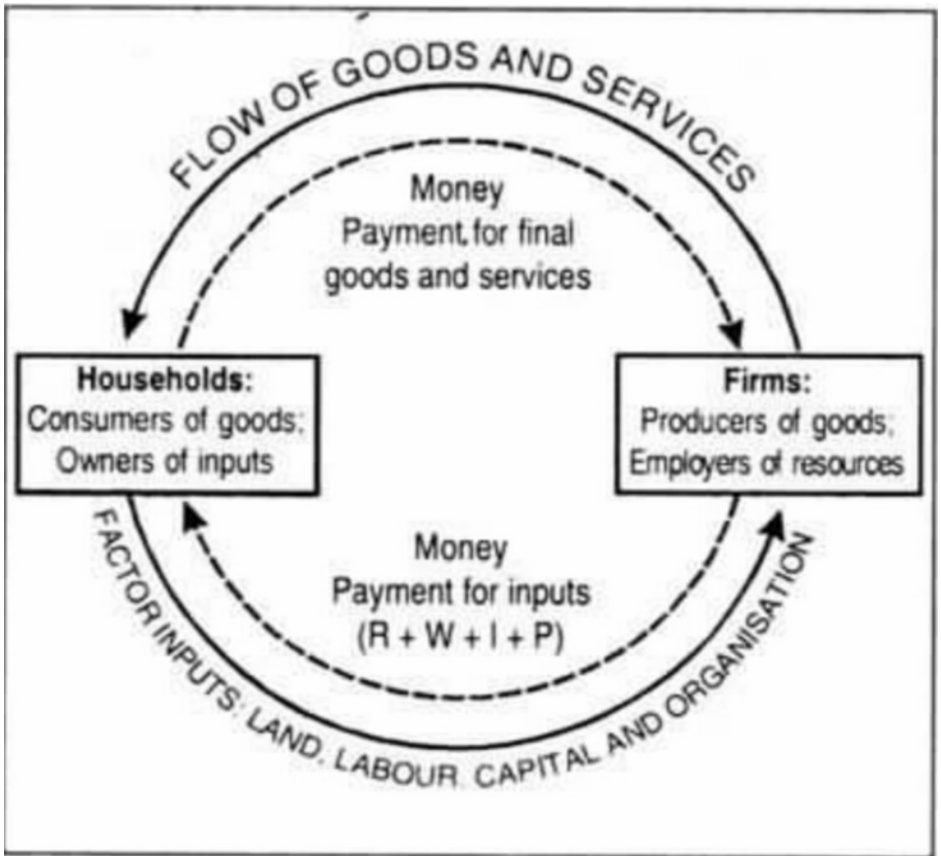
4.5
- Crime
- Domestic violence
- Increase in disease infections
- Malnutrition
- Lack of education and skills (Any relevant answer) (Any 2 × 1) (2)

4.6

Simple interest	R8 000/1 x 8/100 x 4✓ =<u>R2 560</u> Interest payable✓ R8 000 + R2 560 = <u>R10 560</u>. Total payment ✓
Compound interest	
Year one	R8 000/1 × 7/100✓ = <u>R560</u>✓
Year two	(R8 000 + R560) = R8 560 × 7/100✓ = <u>R599, 20</u>✓
Year three	R8 560 + R599,20) = R9 159, 20 × 7/100✓ = <u>R641, 14</u>✓
∗R560 + R599,20 + R641,14 = R1 800,34 - Interest payable ∗R8 000 + R1 800,34 = R9 800,34 - Total payment. The option from Brie Bank is better.✓	

(10)

4.7



NOTE: Any diagram acceptable as long as it shows all the necessary role players and flow of goods and capital.

MARK ALLOCATION
1 mark: household
1 mark: firms
2 marks for explanation of role players
2 marks for indicating flow of goods (6)

4.8
- Households are the owners of factors of production and they offer the labour that a business needs to apply for producing goods and services.
- They are paid in the form of wages or salaries for their work that has been done. (2 × 2) (4)

[40]

QUESTION 5

5.1
- Less time-consuming for consumers
- Contactless card payments do not require consumers to swipe cards, enter pin numbers or give their signatures
- Efficiency of self-service
- Transactions are faster than manual transactions
- Easy to use
- More convenient and secure. (Any 4 × 2) (8)

5.2
- Business transactions are easily accessible.
- Saves time to enter daily transactions electronically.
- Transactions are stored safely for further reference.
- International trade becomes more efficient. (Any 3 × 2) (6)

5.3
- Creates more capital:✓ Products are produced to be sold at a profit the income obtained can then be used as additional capital.✓
- Provides equipment and material:✓ Production demands a great quantity of capital goods such as equipment, machinery and tools.✓
- Credit trade:✓ It enables business to deal in credit, obtaining capital and granting credit to customers.✓
- Producer of goods and services:✓ Consumer and capital goods can be obtained to the satisfaction of ones needs.✓
- Advance on production:✓ Facilitates the payment of loans and other expenses.✓ (Any 3 × 2) (6)

5.4

RENEWABLE RESOURCES	NON-RENEWABLE RESOURCES
These natural resources are able to replace themselves if humans give them the chance to do so,✓✓ e.g. plants, animals.✓	These resources cannot be replaced or increased by nature or humans,✓✓ e.g. coal, iron-ore, gold, etc.✓

(2 × 3) (6)

5.5 5.5.1

DETAILS		AMOUNT
Wire and beads:	R150 × 1 000✓	✓R150 000
Boxes:	R50/20 × 1 000✓	✓2 500
Labels:	R65/250 × 1 000✓	✓260
Shipping:	R750/50 × 1 000✓	✓15 000
TOTAL:		✓✓R167 760

(10)

5.5.2 R451 650 × 6/100 = R27 099
= R451 650 + R27 099 = R478 749 (2)

5.6 € = R9,93
€5 = R9,93 × 5✓
= R49,65
∗ R50,00 (Rounded to the nearest rand)✓ (2)
[40]

TOTAL SECTION B: 160
GRAND TOTAL: 200

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